Robinhood Markets, Inc.

HOOD NASDAQ

Buy	$101.84 ▲ 0.76%	12M Price Target	52-Week Range	Market Cap
		$125.00	$63.52 – $150.47	$91.57B

HOOD: Crypto Rules Clarity + Options Flow Says Dip Is Buyable

WHAT HAPPENED

- HOOD got whacked ~8.5% on Tuesday (from $110.52 to $101.08) on heavy volume (23M shares vs. normal ~13M) — classic profit-taking after a run near 52-week highs. No news, no filings, no insider dumps — this looks like mechanical/technical selling, not a fundamental break.
- Today it's stabilizing (+0.76%) and the options tape is screaming bullish: put/call ratio of 0.46 and massive unusual call buying at $97 and $100 strikes expiring this month. Translation — big traders are betting the dip gets bought back fast.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- Trading volumes are cyclical — if crypto rolls over or retail gets scared out of the market (think recession scare, geopolitical shock), HOOD's transaction revenue falls off a cliff and the multiple gets re-rated down.
- Interest rate cuts hurt their net interest income — the Fed is in cutting mode, and every 25bp cut shaves meaningful dollars off the margin they earn on customer cash balances.
- The non-obvious one: HOOD is pushing hard into prediction markets and event contracts (election betting, sports). If the CFTC or a state AG decides to crack down on that category, it kills a growth narrative management has been selling to Wall Street.

IN THE NEWS

WHAT OPTIONS TRADERS ARE DOING

Put/Call Ratio	**0.46**
Call Vol / Put Vol	**144,488 / 66,556**
Flow Signal	**BULLISH**
Largest Unusual	**CALL $100.0 2026-10 (2.7x OI)**

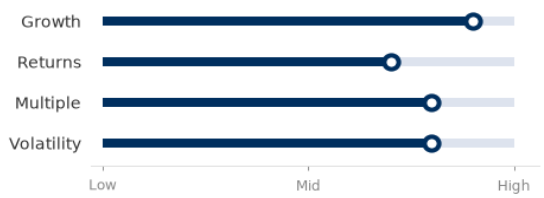
Bullish flow: P/C ratio 0.46 with unusual call block at $100 strike (2.7x OI, $2.0M notional). Institutional positioning appears long-oriented.

ARE INSIDERS BUYING OR SELLING?

Key Data

Price (USD)	**$101.84**
12M Price Target	**$125.00**
Upside / (Downside)	**+22.7%**
Market Cap	**$91.57B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,100M**
FY2026E EPS	**$1.95**
FY2027E EPS	**$2.70**
Fwd P/E	**52.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | October 15, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$115.00**	$105.00	**$92.00**
6 Months	**$135.00**	$115.00	**$85.00**
1 Year	**$160.00**	$125.00	**$75.00**
2 Years	**$200.00**	$150.00	**$70.00**
5 Years	**$300.00**	$200.00	**$80.00**
10 Years	**$500.00**	$300.00	**$100.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.5% today, +6% on week) — likely drug pricing deal clarity and biotech M&A. Materials and Real Estate catching a bid on rate-cut expectations (lower rates = cheaper financing = good for cyclicals and REITs).

COOLING OFF: Financials and Tech aren't in today's top movers — some rotation OUT of the high-flyers (where HOOD lives) into defensive and rate-sensitive names. That's exactly the dynamic that caused yesterday's HOOD flush.

ROTATION WATCH: Money is rotating from momentum/growth into rate-cut beneficiaries (REITs, materials, healthcare). This is a short-term headwind for HOOD until the next crypto or earnings catalyst reignites the trade.

RELATED PLAY: If you believe the crypto regulatory thaw continues, COIN is the purer play; if you want the "financialization of retail" theme without the crypto beta, SCHW or IBKR give you broker exposure with less volatility.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto regulatory tailwind as HOOD, often leads HOOD on crypto-driven moves.
- IBKR (Interactive Brokers): Broker peer benefiting from elevated options and margin activity, less crypto-dependent so it's held up better on crypto wobbles.

HOOD CONTEXT: HOOD is at 44% of its 52-week range after the pullback — it's lagging the broader risk-on tape today, which actually makes the risk/reward better here than it was at $110. When a leader pulls back faster than peers on no news and the options flow stays bullish, that's historically a buyable setup.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — the setup (unusual call buying + no bad news + policy tailwinds) is compelling, but I'm not pounding the table at $100 when it was $63 earlier this year.

POSITION SIZE: 2-4% of portfolio — real upside, but this stock can drop 10% in a day (as we just saw), so size for the volatility.

ENTRY POINTS: Start a position here around $100, add on dips to $92-95, back up the truck sub-$85 if we get a broader market flush.

TIME HORIZON: 12-18 months — catalysts I'm waiting for are CLARITY Act passage, Q4 earnings (crypto volumes), and any announcement on prediction markets expansion.

WHEN TO BAIL: If trading volumes drop >25% quarter-over-quarter, if crypto cracks hard, or if the admin pivots on crypto policy (unlikely but watch it). Also: a close below $85 breaks the uptrend technically.
HEDGING: Simplest hedge — buy cheap put options 10-15% below the current price as insurance, costs you a little but caps your downside if the stock craters. Or just keep dry powder to add on the dip rather than hedging.

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